

► **L. Robbins** defined as-“Economics is the science which studies human behaviour as a relationship between **ends** and **scarce** means which have **alternative** uses.”

Subject Matter of Economics:

▶ The subject matter of economics is divided into two:

- i) Micro economics
- ii) Macro economics

▶ **Micro economics**

▶ The word micro has been derived from Greek word **Micros** means small or little. Micro economics deals with the analysis of small individual units of economy such as buyers, sellers, individual farms, industrial units or a group of enterprises.

- ▶ According to **Boulding**
- ▶ Micro economics is the study of particular firms, particular household, individual prices, wages, incomes, individual industries, and particular commodities.

Example 1: A student decides how to spend their monthly allowance between buying books and snacks.

- ▶ This is microeconomics because it deals with individual decision-making.

▶ **Macro economics**

▶ The word macro is derived from the Greek word **Makros** means large or total and therefore macro economics deals with the economic activities in the large.

▶ According to **Boulding** Macro economics deals not with individual incomes but with national income, not with individual prices but with price level; not with individual output but with the national output. Macro economics is concerned with the economic activity as a whole or in totality.

► For example total national product, income and employment generation, consumption and price level of the whole economy are within the orbit of macro economics.

► According to **Samuelson** Macro economics is the study of the behavior of the economy as a whole. It examines the overall level of a nation's output, employment and prices.

Example: Bangladesh's GDP grows by 6.5% this year.

► This reflects the performance of the entire economy.

What is Utility?

Utility means the satisfaction or happiness a person gets from consuming a product or service.

Example:

If you eat a chocolate and feel happy,

→ that happiness is the utility you get from the chocolate.

► Five types.

- 1. **Time utility:** If someone can arrange winter vegetables in the summer season, definitely he will get a higher price than that of winter season because of creating time utility. It may be done by using cold storage facilities.

Some basic concepts in Economics

- ▶ **Utility:** Capacity of satisfying needs / wants. Pen to the students and marker to the teacher in the classroom are the examples of utility.
- ▶ If a teacher does not bring a marker in the classroom and students offer all of their pens to write with on the white board, pens will not be able to satisfy the need of the teacher. So, the pen does not have any utility to a teacher in the classroom.

- ▶ **2. Form utility:** Creating chairs or some other furniture by some wooden slabs is the examples of form utility. Wooden slabs do not have any utility. When chairs are made by changing the forms of wood, it gets utility for everybody.
- ▶ **3. Place utility:** When we see two shirts of almost the same cloth. One is having a sticker of Aarong and the other is having a sticker of Milan Garments. Someone will be willing to pay more prices for the first one. Similarly, silk of Rajshahi, Chamcham of Purabari, Monda of Muktagacha are the popular examples of place utility.

▶ **4. Service utility:** Service of a teacher or a doctor to a student or to a patient is of this kind of utility.

▶ **5. Information utility**

▶ To inform the buyers that the products exist, how to use it, the price and other related information of the products availability.

Production

- ▶ Creation of utility with exchange value.
- ▶ Example: Chair from wood is a production because it creates utility and the chair can be sold in the market. On the other hand, a boat from a piece of paper is not Production though it has great utility for a baby, but it cannot be sold in the market. So, production has two features. 1) utility creation 2) exchange value.
- ▶ Factors of Production: Four factors– Land, Labor, Capital, and Organization.

Consumption

- ▶ Destroying the utility through use. Example– If one loses the utility of a cup of tea due to lacking of sugar in it or one cannot put on a new fashionable shirt because unfortunately, it does not fit with his body. In both cases utility is destroyed but definitely, it is not regarded as consumption.
- ▶ In case of consumption, the utility must be destroyed through use. So, consumption also has two features. 1) Utility destruction. 2) It must be destroyed through proper use.

Goods

- ▶ All material and non-material commodities that have the capacity to satisfy need / wants.
- ▶ **Classification:**
- ▶ **1. Consumer's goods and producer's goods:**
Consumer's goods are those which are directly consumed by the consumer. For example rice, bread, pen, computer etc.
- ▶ **Producer's goods:** Producer's goods are those which are not directly consumed by the producer rather those are used in their production process. For example fertilizer, raw materials, pesticide etc.

- ▶ **2. Private goods and public goods: Private goods** are those which are owned by the private individual.
- ▶ For example chair, table, computer, pen etc.
- ▶ **Public goods** are usually owned by the government and none can be deprived from its utility.
- ▶ For example road, street lamp etc.

- ▶ **3. Free goods and economic goods:** Free goods are those whose supply is greater than demand and that is why people need not to pay for it.
- ▶ For example river water, sea water, atmospheric air etc.
- ▶ **Economic goods** are those whose supply is less than demand and that is why people have to pay for it.
- ▶ For example mineral water, government supplied water, cylinder oxygen in hospital etc.

▶ **4. Material goods and non-material goods:**

Material goods are those which can be touched and seen.

▶ For example: chair, table, computer, pen etc.

▶ **Non-material goods** are those which cannot be touched and seen but can be felt. For example sun shine, Moon light etc.

- ▶ **5. Transferable goods and non - transferable goods.** **Transferable goods** are those which / whose ownership can be transferred.
- ▶ For example chair, table, pen, computer etc.
- ▶ **Non transferable goods** are those which cannot be physically transferred.
- ▶ For example good health.

Assumptions, Hypotheses, Theory, and Law

- ▶ **Assumptions:** Assumptions are those which are considered as true and never needed to be considered whether it is true or false.
- ▶ For example: The one kg weight in the shop.
- ▶ **Hypotheses:** Hypotheses are those, which are considered as true and needed to be considered whether it is true or false.

- ▶ **Theory:** When a hypothesis becomes true for a long time then it is called theory.
- ▶ For example: Malthusian theory of population

- ▶ **Law:** When a hypothesis becomes true forever then it is called law.
- ▶ For example: Law of demand

Value and Price

- ▶ **Value:** Exchange of one commodity with another.
- ▶ For example, the value of a Red leaf pen is three Econo ball point pens.
- ▶ **Price:** When value is expressed in terms of money.
The price of a red leaf pen is 10 Tk.